

SUBVERTICAL LENS

The core archetype is Quench's workplace point-of-use model: installed, provider-owned filtration equipment for a recurring fee. Route density and recurring billing support margins, while equipment ownership, service intensity and customer-site turnover constrain conversion and tenure.

METRIC	ESTIMATE	ASSERTION	CONFIDENCE
Revenue growth	8%	We use 8%, below Quench's 13.6% organic growth in 2019, because that result is dated and current workplace demand is more exposed to office occupancy. Primo's Refill/Filtration growth is not a clean filtration-only measure.	MEDIUM
EBITDA margin	28%	The 28% estimate is anchored directly to Quench's 2019 result of \$32.4 million of EBITDA on \$115.2 million of revenue. Recurring fees support the margin, while technicians, travel, filters, sanitation and repairs constrain it.	MEDIUM
Maintenance capex / revenue	13%	We use 13% because providers own a large installed fleet and must replace or refurbish returned systems while sustaining service vehicles and reinstallations. Quench had about 160,000 rental units, but filtration-specific sustaining capex is undisclosed.	LOW
Customer tenor INITIAL / EFFECTIVE	Initial / effective 1-12 mos / 6 yrs	The short initial term reflects Quench's primarily month-to-month rentals and Primo's flexible cancellation language. We use six years of effective tenure because plumbing, recurring service and multi-unit relationships create operating stickiness.	MEDIUM-LOW
Utilization exposure	Moderate overall	We classify exposure as Moderate because fixed fees decouple revenue from water consumption, but a returned machine earns nothing until redeployed. Office occupancy, route density and productivity across Quench's 500-plus technicians remain meaningful variables.	MEDIUM
New-unit / customer payback	Equipment 2.7 yrs CAC 1.0 yr	Equipment payback is set at 2.7 years and CAC payback at one year because one acquired Quench account can support about 2.9 machines and recurring plans begin around \$28 monthly. Installed cost and unit contribution are undisclosed.	LOW
B2B vs B2C	Predominantly B2B	We classify the core model as predominantly B2B because Quench explicitly serves workplaces and directs residential users elsewhere. Primo broadens the universe into homes and other channels, but its exact filtration customer mix is undisclosed.	MEDIUM-HIGH

SUBSECTOR CATEGORIES		Workplace POU filtration AquaVenture Holdings / Quench	Diversified water platform Primo Water
AquaVenture Holdings / Quench		WORKPLACE POU FILTRATION	PRIMO WATER
Evidence. FY2019 is the last standalone period. Quench had about 160,000 units and 55,000-plus customers, or 2.9 units per account, with \$115.2 million revenue, \$32.4 million adjusted EBITDA, 13.6% organic growth, and six acquisitions. Current materials describe mainly month-to-month rental and included service. Business. The relevant AquaVenture operation is Quench, excluding Seven Seas Water and desalination. Quench USA, Inc., now a Culligan subsidiary, installs company-owned filtration dispensers for institutional and commercial workplaces in the U.S. and Canada. Fixed-fee plumbed filtration replaces bottle storage, handling, and delivery. Economics. The core unit is a machine; CAC and tenure sit at the customer location. Monthly rent includes maintenance and filters; installation may be separate. Multiple machines spread account setup cost. More than 500 technicians install, inspect, sanitize, change filters, and repair, making route density central. Working equipment, included service, predictable bills, and re-plumbing support retention; office closure, relocation, downsizing, hybrid work, rebids, and poor service cause churn. Returns require recovery, refurbishment, and reinstallation before earning again.		Evidence. FY2023 combined Refill/Filtration revenue was \$226.9 million versus \$192.0 million, so filtration growth is not separable. Customer equipment had \$235.0 million net book value and 2-15-year lives but included many non-filtration assets. Cancellation is flexible. Business. Primo Water's installed filtration offer now sits inside Primo Brands after the November 2024 transaction. It places company-owned carbon or reverse-osmosis systems in homes and businesses, with floor, countertop, and under-sink formats from \$27.99 monthly. It solves taste and convenience needs without bottle logistics or self-managed maintenance. Economics. The core unit is a filtration system; the account governs CAC and cross-sell. Primo owns, installs, leases, maintains, filters, sanitizes, repairs, bills, and sometimes monitors devices. Rolling cancellation lowers sales friction but makes retention depend on convenience, service, price, moves, and cross-sell. Home/business reach reduces office concentration but fragments routes and creates internal purchase, refill, exchange, and delivery substitutes. Cancelled equipment must be recovered and redeployed.	

KEY DILIGENCE QUESTIONS	1 Obtain filtration-only revenue, installed units, churn, net retention, margin, service cost and sustaining capex.	2 Separate organic placements and price from acquisitions at Quench and refill-driven growth at Primo.	3 Measure returned-unit recovery, refurbishment, redeployment and scrap rates by product family.
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